

KELANI TYRES PLC

(Reg: No. PQ 123)

INTERIM FINANCIAL STATEMENTS

FOR NINE MONTHS ENDED DECEMBER 31, 2020



Corporate Office
203, Union Place
Colombo 02.

KELANI TYRES PLC AND ITS GROUP
**CONSOLIDATED STATEMENT OF
COMPREHENSIVE INCOME**

(all amounts in Sri Lankan Rupees thousands)

	Group		Company		Group		Company	
	Apr. -Dec.		Apr. - Dec.		Oct. -Dec.		Oct. - Dec.	
	2020 (Un audited)	2019 (Audited)	2020 (Un audited)	2019 (Audited)	2020	2019	2020	2019
Revenue	60,126	235,052	59,438	232,936	217	80,788	-	80,507
Direct costs	(54,204)	(212,570)	(53,548)	(211,726)	(219)	(73,235)	-	(73,016)
Gross profit/(loss)	5,922	22,482	5,890	21,210	(2)	7,554	-	7,492
Other operating income	5,596	6,687	156,096	263,573	1,874	1,862	1,874	1,862
Administrative costs	(38,623)	(37,251)	(38,550)	(37,146)	(7,705)	(11,617)	(7,654)	(11,534)
Management Expenses	(32,048)	(31,844)	(32,048)	(31,844)	(14,345)	(12,688)	(14,345)	(12,688)
Depreciation	(6,202)	(6,519)	(6,202)	(6,519)	(2,067)	(2,174)	(2,067)	(2,174)
Operating profit/(loss)	(65,356)	(46,445)	85,186	209,273	(22,246)	(17,064)	(22,193)	(17,043)
Finance Income	28,713	4,748	28,713	4,748	21,089	1,661	21,089	1,661
Finance costs	(6,388)	(6,605)	(6,388)	(6,568)	(1,260)	(2,131)	(1,260)	(2,131)
Profit/(Loss) before tax	(43,031)	(48,302)	107,511	207,453	(2,417)	(17,534)	(2,364)	(17,514)
Tax	-	-	-	-	-	-	-	-
Profit/(Loss) after tax	(43,031)	(48,302)	107,511	207,453	(2,417)	(17,534)	(2,364)	(17,514)
Share of results of JV	740,093	398,416	-	-	302,268	128,483	-	-
Profit/(Loss) for the period	697,062	350,114	107,511	207,453	299,850	110,949	(2,364)	(17,514)
Other comprehensive income:	-	-	-	-	-	-	-	-
Items that may be subsequently reclassified to profit or (loss)								
Share of other comprehensive - -Income/expenses from Joint Venture	(1,571)	708	-	-	(537)	246	-	-
Total comprehensive income - -for the period, net of tax	695,491	350,822	107,511	207,453	299,314	111,195	(2,364)	(17,514)
Earning per share (for the period)	8.67	4.35	1.34	2.58	3.73	1.38	(0.03)	(0.22)

KELANI TYRES PLC AND ITS GROUP

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

(all amounts in Sri Lankan Rupees thousands)

	Group		Company	
	31-12-2020 (un-audited)	31-03-2020 (Audited)	31-12-2020 (un-audited)	31-03-2020 (Audited)
ASSETS				
Non-current assets				
Property, plant and equipment	34,561	41,210	35,740	41,734
Investment Property	439,824	439,824	439,824	439,824
Investments in subsidiaries	-	-	10	10
Investment in JV	4,486,559	3,898,538	139,607	139,607
	4,960,944	4,379,572	615,181	621,175
Current assets				
Trade and other receivables	147,182	676,878	146,821	676,097
Income Tax Refund	400	400	-	-
Cash and cash equivalents	414,443	185,410	411,702	183,453
	562,025	862,688	558,522	859,550
Total assets	5,522,969	5,242,260	1,173,704	1,480,725
EQUITY AND LIABILITIES				
Equity attributable to equity holders				
Stated capital	402,000	402,000	402,000	402,000
Revaluation reserves	971	971	971	971
Other reserves	486,636	486,636	-	-
Retained earnings	4,494,166	4,200,675	631,368	925,858
Total equity	5,383,773	5,090,282	1,034,339	1,328,829
Non - current liabilities				
Borrowings	13,333	20,833	13,333	20,833
Retirement benefit obligations	6,730	6,730	6,730	6,730
	20,063	27,563	20,063	27,563
Current liabilities				
Trade and other payables	48,310	50,571	48,478	50,489
Borrowings	10,000	10,000	10,000	10,000
Bank Overdraft	60,823	63,844	60,823	63,844
	119,134	124,415	119,301	124,333
Total liabilities	139,197	151,978	139,364	151,896
Total equity and liabilities	5,522,969	5,242,260	1,173,704	1,480,725
Net Asset Value Per share	66.96	63.31	12.86	16.53

I certify that these financial statements have been prepared in compliance with requirements of the Companies Act, No. 07 of 2007.

sgd

P. R. Mann

Finance Officer

The Board of Directors is responsible for the preparation and presentation of these Financial statements.

Sgd

Rohan T. Fernando

Managing Director

22nd January 2021

Sgd

(Mrs). S. S Jayatilaka

Director

KELANI TYRES PL AND ITS GROUP**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY**

(all amounts in Sri Lanka Rupees Thousands)

Company

	Stated capital	Revaluation Reserve	Other Reserve	Retained Earnings	Total
Balance at 1 April 2019 (audited)	402,000	971	-	579,660	982,631
Profit for the Period	-	-	-	207,453	207,453
Dividend paid	-	-	-	(201,000)	(201,000)
Balance at 31st Dec. 2019 (audited)	402,000	971	-	586,113	989,084
Balance at 1 April 2020 (audited)	402,000	971	-	925,858	1,328,829
Profit for the Period	-	-	-	107,511	107,511
Dividend paid	-	-	-	(402,000)	(402,000)
Balance at 31st Dec. 2020 (un-audited)	402,000	971	-	631,368	1,034,339

KELANI TYRES PL AND ITS GROUP**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY**

(all amounts in Sri Lanka Rupees Thousands)

Group

	Stated capital	Revaluation Reserve	Other Reserve	Retained Earnings	Total
Balance at 1 April 2019 (audited)	402,000	971	486,636	3,961,449	4,851,056
Profit for the Period	-	-	-	350,114	350,114
Other comprehensive income	-	-	-	708	708
Dividend paid	-	-	-	(201,000)	(201,000)
Balance at 31st Dec. 2019 (audited)	402,000	971	486,636	4,111,271	5,000,878
Balance at 1 April 2020 (audited)	402,000	971	486,636	4,200,675	5,090,282
Profit for the Period	-	-	-	697,062	697,062
Other comprehensive income	-	-	-	(1,571)	(1,571)
Dividend paid	-	-	-	(402,000)	(402,000)
Balance at 31st Dec. 2020 (un-audited)	402,000	971	486,636	4,494,166	5,383,773

KELANI TYRES PLC AND ITS GROUP

Cash flow statement

(all amounts in Sri Lankan Rupees thousands)

	Nine months ended 31st Dec. 2020		Nine months ended 31st Dec. 2019	
	Group	Company	Group	Company
Cash flows from operating activities				
Cash generated from (used in) operations	468,938	468,153	(43,835)	(45,188)
Interest received	28,713	28,713	4,748	4,748
Interest paid	(6,388)	(6,388)	(6,605)	(6,568)
Net cash generated from (used in) operating activities	491,263	490,479	(45,693)	(47,008)
Cash flows from investing activities				
Purchases of property, plant and equipment	(210)	(210)	(151)	(151)
Purchases of intangible asset	-	-	-	-
Capital Working Progress	-	-	-	-
Dividend received	150,500	150,500	258,000	258,000
Change in current receivables from subsidiary	-	-	-	-
Purchases of intangible assets	-	-	-	-
Proceeds from sale of property, plant and equipment	-	-	1,177	-
Net cash (used in)/generated from investing activities	150,290	150,291	259,026	257,849
Cash flows from financing activities				
Dividend payment	(402,000)	(402,000)	(201,000)	(201,000)
Change in Bank borrowings	(7,500)	(7,500)	32,390	33,333
Net cash (used in)/generated from financing activities	(409,500)	(409,500)	(168,610)	(167,667)
Net (decrease)/increase in cash and cash equivalents	232,053	231,269	44,723	43,174
Movement in cash and cash equivalents				
At the start of period	121,567	119,610	(32,869)	(33,601)
(Decrease)/increase	232,053	231,269	44,723	43,174
At the end of period	353,620	350,879	11,854	9,573

KELANI TYRES PLC AND ITS GROUP

NOTES TO THE INTERIM FINANCIAL STATEMENTS:

(all amounts are in Sri Lanka Rupees thousands)

1 General Information

Company

The company is a limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The address of its registered office is P.O.Box 8, Nungamugoda, Kelaniya.

Group

Joint Venture (JV):

The JV's principal activity is the manufacture of tyres and tubs locally and its sale thereof locally and internationally.

Subsidiary company:

The principal business activity is to hire out motor vehicles.

2 Basis of preparation

The Interim Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard (LKAS-34) Interim Financial reporting. These interim financial statements should be read in conjunction with the annual financial statement for the year ended 31 Mar. 2020,

3 Significant Accounting Policies

The Company has adopted consistent accounting policies and method applied for the year ended 31st March 2020 and the presentation and classification of the financial statements of the previous year have been amended where relevant for better presentation and to be comparable with those of the current year.

4 Stated Capital

Stated Capital represented by issued shares is given below:

	12/31/20	3/31/20	3/31/19
Ordinary shares as at	80,400	80,400	80,400

5 There have been no other events subsequent to the Balance Sheet date, which require disclosure in the Interim Financial Statements.

6 Provision was made for taxation by joint venture CEAT SRI LANKA as follows:

	Rs.
Profit before Tax JV	1,675,140,826
Less: Provision for Tax	(194,954,876)
Profit after Tax	1,480,185,950

7 There were no Contingent Liabilities or Contingent Assets since the Balance Sheet date.

8 There were no Liability towards Management fee or any similar expenditure not provided for in the Interim Financial Statements.

9 Dividend per share

	Group		Company	
	12/31/20	12/31/19	12/31/20	12/31/19
Dividend received from the JV	150,500	258,000	150,500	258,000
Dividend declared & paid to shareholders	402,000	201,000	402,000	201,000
Number of shares in issue (thousands)	80,400	80,400	80,400	80,400
Dividend per share - (Rs.)	5.00	2.50	5.00	2.50

10 The figures have been presented in these financial statements are provisional and subject to audit, and also comparative figures have been reclassified where necessary.

11 Market price per share:

for the Nine months ended 31st Dec.

	2020	2019
	Rs.	Rs.
Highest Price (16/10/20 & 28/11/19)	94.90	51.00
Lowest Price (06/10/20 & 03/10/19)	70.00	38.10
Last Traded Price	86.50	49.60

KELANI TYRES PLC
TOP 20 SHARE HOLDERS LIST
AS AT 31-12-2020

No.	Name	No of Shares	%
1	SILVERSTOCK LIMITED	36,975,523	45.989
2	BANCK OF CEYLON A/C CEYBANK UNIT TRUST	6,473,917	8.052
3	MR. UDESHI H M	4,132,857	5.140
4	MR. R. C. D. DE SILVA	1,801,104	2.240
5	EMPLOYEES PROVIDENT FUND	1,553,800	1.933
6	BANK OF CEYLON ACCOUNT CEYBANK - CENTURY GROWTH FUND	1,390,016	1.729
7	MRS. SARASWATHI V.	717,000	0.892
8	HATTON NATIONAL BANK PLC / MR. G. S. N. PERIS	683,991	0.851
9	MR. PUSPARAJ N. & MRS. PUSPARAJ. K	666,049	0.828
10	HATTON NATIONAL BANK PLC / S. VASUDEVAN	536,358	0.667
11	Mr. VASUDEVAN . S	500,000	0.622
12	ARUNA ENTERPRISES (PVT) LTD	437,600	0.544
13	MR. POBRAN B.	350,240	0.436
14	MRS. S. M. FERNANDO	330,000	0.410
15	RANSIRI ENTERPRISES (PRIVATE) LIMITED	310,000	0.386
16	MRS V. SARASWATHI & MR. S. VASUDEAN	300,219	0.373
17	HATTON NATIONAL BANK PLC / K. R. E. M. D .M. B. JAYASUNDARA	300,000	0.373
18	MR K. BALENDRA & MRS S. BALENDRA	300,000	0.373
19	MRS. MULJIE. N	291,694	0.363
20	DEUTSCHE BANK AG - NATIONAL EQUITY FUND	274,000	0.341

PUBLIC HOLDING

The percentage of shares held by the public as at 31st December 2020 is 51.760% comprising of 9,883 shareholders
(31st December 2019 - 51.844% comprising of 8,159 shareholders)

FLOAT ADJUSTED MARKET CAPITALIZATION AS AT 31ST DECEMBER 2020 - RS. 3,599,734,954/50

The Company is in compliance with Option 4 of Section 7.13.1 (a) of the Listing Rule of the Colombo Stock Exchange pertaining to minimum public holding.

SHARE HOLDINGS BY THE DIRECTORS AS AT 31ST DECEMBER 2020

Names of Directors	No of Shares as at 31st Dec. 2020	%
Mr. Chanaka De Silva	1,801,104	2.240%
Mr. Rohan T. Fernando	Nil	
Mr. T. Bevan Perera	1920	0.002%
Mr. D. S. Kamantha Amarasekera	Nil	
Mrs. S. S. Jayatilaka	240	0.000%
Mr. Eradj T. Fernando	Nil	
Mr. R. P. Weerasooria	Nil	

KELANI TYRES PLC AND ITS GROUP*NOTES TO THE INTERIM FINANCIAL STATEMENTS (cont.):***Joint Venture Performance**

The assets and liabilities and the income and the expenses of the Joint venture as follows:

Summarised Financial Position

	31-12-2020	31-12-2019
Non-Current Assets	6,252,947	5,620,120
Current Assets	6,868,281	5,594,793
Total Assets	13,121,228	11,214,913
Capital and Reserves	8,973,119	8,296,715
Non-Current Liabilities	1,400,781	1,301,808
Current Liabilities	2,747,329	1,616,391
Total Equity & Liabilities	13,121,228	11,214,913

Summarised Income Statement

	2020 Apr. to Dec.	2019 Apr. to Dec.
Production (MT)	12,427	11,468
Total Sales (MT)	12,347	11,508
Domestic Sales	7,572,976	6,240,113
Export Sales	742,863	1,069,408
Total Sales	8,315,839	7,309,521
Cost of Sales	(5,694,389)	(5,430,171)
Gross Profit	2,621,450	1,879,350
Distribution/Administrative Cost	(1,018,986)	(920,125)
Finance Cost less income	66,363	66,570
Other Operating Income	6,314	27,283
Pofit BeforeTax	1,675,141	1,053,077
Taxation	(194,955)	(256,245)
Profit for the period	1,480,186	796,832
Other Comprehensive income/(Expenses)	(3,143)	1,417
Total Comprehensive income	1,477,043	798,249